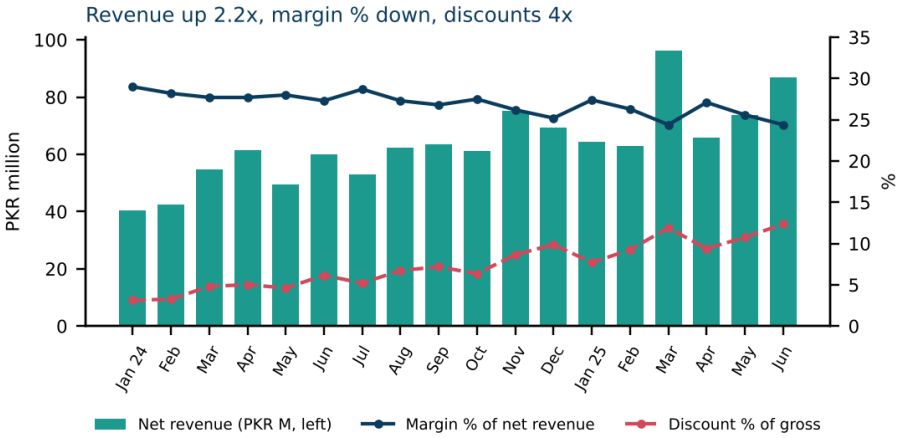
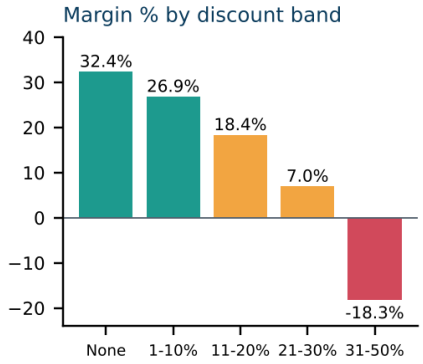
Net Revenue	NMV	Margin	Orders	AOV
1,142.8M	**1,200.4M**	**304.9M (26.7%)**	**145,338**	**8,259**
Units	**Return Rate**	**Cancellation**	**Active Customers**	**Observed CLV**
469,782	**5.15%**	**9.16%**	**31,490**	**36,290**

Bottom line

NexusMart is growing fast but **profit is not keeping pace**. Net revenue in H1 2025 (PKR 450.0M) is **+46.0%** above H1 2024 (PKR 308.1M), yet margin rose only **+34.4%** (PKR 86.0M to 115.6M) and margin % slipped from **27.9% to 25.7%**. The data points to four causes: deeper discounting, a low-margin Electronics-heavy mix, high Cash-on-Delivery cancellations, and returns concentrated in Fashion and Footwear. Each is quantified below with the action it supports.





Why profitability is flat despite growing revenue

- **Discounting is the main driver.** Discount as a share of gross sales rose from 3.1% (Jan 2024) to 12.4% (Jun 2025). Orders with no discount earn a 32.4% margin; 11-20% gives 18.4%, 21-30% gives 7.0%, and **31-50% loses money (-18.3% margin, PKR -11.5M)**. Deep discounts did not buy lower returns (6.25% in the 31-50% band vs 5.09% with no discount) and had the highest cancellation rate (11.06%).
- **Electronics dilutes the mix.** It is the largest category (PKR 413.3M, 36% of net revenue) but earns only 8.5% margin; Grocery is similar (8.9%). Fashion, with 54% of Electronics' revenue, earns 2.7x its margin (PKR 94.3M vs 35.1M).
- **COD cancels 3.5x more than prepaid.** COD is 52% of orders and cancels 13.94%, versus 3.88-4.13% for Card, JazzCash, EasyPaisa and Bank Transfer.
- **Returns cost PKR 57.6M and are concentrated.** Fashion and Footwear return 9.8% and 7.7% of delivered lines (about 3.5% elsewhere) and account for 49.5% of all refunds (PKR 28.5M).
- **Shipping is an extra cost.** Courier fees (about PKR 77.9M over the period) are paid by NexusMart and sit outside the official Margin definition; they equal roughly a quarter of margin.

Recommended actions

1. Cap and re-tier discounts	Stop discounts above 30% (they lose money and raise returns and cancellations) and review the 21-30% band (7.0% margin). Illustration: the 21-50% bands hold PKR 119.2M of net revenue and PKR -7.5M margin; at the 11-20% band margin (18.4%) the same revenue would earn about PKR 21.9M, a swing of roughly PKR 29M.
2. Shift orders away from unconfirmed COD	Offer a small prepaid incentive and add phone or WhatsApp confirmation before dispatch for COD. If COD cancelled at the prepaid rate (about 4.0%), roughly 8,300 fewer orders would be cancelled (about PKR 75M of gross order value at the average gross order value of PKR 9.0k).
3. Fix Fashion and Footwear returns at source	Audit the five sellers with 14-16% return rates (Lahore Imports 66, Pak Hub 77, Crown Enterprises 11, Habib Store 43, Rehman Traders 67; network average 5.15%). Add size guides and photo checks (Size/Fit and Not as Described are 31% of returns), and use the seller quality score for listing and promotion decisions. Also speed up delivery to remote provinces: lines delivered after 5 days return 6.8-6.9% vs 4.8-4.9%.

Answers to the business questions (actual figures from the dataset)

Core performance	Highest net revenue: Electronics 413.3M, Fashion 223.3M, Home & Kitchen 150.8M, Mobile & Accessories 104.8M. Highest margin (PKR): Fashion 94.3M (42.2%), Mobile & Accessories 43.8M (41.8%), Home & Kitchen 43.3M (28.7%). Highest margin %: Beauty 47.3%. Lowest: Electronics 8.5%, Grocery 8.9%.
Geography	Most NMV: Punjab 530.3M (44.2%), Sindh 338.8M (28.2%), Islamabad Capital Territory 148.2M (12.3%). Least: Gilgit-Baltistan 9.5M (0.8%), Azad Kashmir 11.7M (1.0%). Top 5 cities (Karachi 18.9%, Lahore 15.3%, Islamabad 7.3%, Rawalpindi 5.0%, Faisalabad 4.7%) give **51.2%** of NMV. Smallest city with sales: NagarChak, PKR 17.6k.

Revenue trends	Monthly net revenue grew from 40.4M (Jan 2024) to 86.9M (Jun 2025). Growth is uneven: +52.7% in Mar 2025 (Ramadan plus 11.9% discounts), -31.5% in Apr 2025, +22.8% in Nov 2024 (11.11 and Black Friday). Latest month (Jun 2025) is +17.9% MoM.
Returns & cancellations	Overall return rate 5.15% and cancellation rate 9.16%. Monthly return rate stays within 5.0-5.7%; cancellation ranges 7.4% (Jan 2024) to 10.8% (Apr 2025) with no clear trend. Jun 2025 return rate (3.98%) is probably understated because recent orders may not have completed their return window.
Profitability	Gross sales 1,437.7M fall to NMV 1,200.4M (cancellations and discounts) and to net revenue 1,142.8M after 57.6M refunds, i.e. 79.5% of gross. Fashion keeps the least (76.1%, refunds are 7.6% of its gross) and Footwear 77.6%; other categories keep 80-81%.
Customer value	Observed CLV is PKR 36,290 per active customer (31,490 customers). Repeat purchase rate is 71.8% overall and almost identical by region (Central 72.0%, South 71.2%, North 72.8%). By category, repeat purchase within the category is highest for Mobile & Accessories (52.4%) and Fashion (51.9%), lowest for Automotive (13.4%) and Books & Stationery (18.6%).
Customer segmentation	**Champions** generate the most revenue: PKR 683.3M (about 60% of net revenue) from 8,258 customers (26% of active customers).
Seller performance	Quality score (0-100) = revenue 30%, return rate 30%, on-time delivery 25%, cancellation 15%; weights reflect scale, quality cost, reliability and the least seller-controlled factor. Bands: A (70+) 22 sellers, B 125, C 155, D 90, 15 low-volume unranked. Return rate falls from 7.1% (band C) to 2.95% (band A). Top sellers: Al-Noor Collection 46 (86.7), Prime Store 57 (86.3), Lahore Collection 67 (84.0).
Delivery performance	Median delivery is 3 days (p90 = 6). The on-time threshold is 5 days. Lines delivered within 5 days return 4.8-4.9%; after 5 days, 6.8-6.9%. About 15% of delivered lines arrive after 5 days.
Product quality	High-sales products with the highest return rates are all Fashion or Footwear: Orion Abaya Y106 (16.9%, Pak Hub 77), FashPro Lawn Suit 3pc A190 (16.6%, Habib Store 43), and, all from Lahore Imports 66, FashPro Abaya G370 (14.6%), Zeta Abaya L431 (14.3%) and Generic Cotton Kurta H863 (12.2%). Yes, they cluster on a few sellers: 5 of the top 10 belong to Lahore Imports 66 (15.8% seller return rate) and Pak Hub 77 (15.2%). Top return reason is Size/Fit (16.2%).
Seasonality	Average daily NMV vs a regular day (2.09M): 11.11 **+210%**, Black Friday **+148%**, Ramadan +38%, 14 August +33%, Eid-ul-Adha +10%, Eid-ul-Fitr -4%. Return rates stay at 5.1-5.4% in all periods (no spike). Cancellations are higher only around Eid (Fitr 12.9%, Adha 11.5% vs 9.2% on regular days). Margin is lower on 11.11 (24.2%) and Eid-ul-Adha (22.6%) than on regular days (26.9%).
Discounts	Discounts do not reduce returns (5.1% with no discount vs 4.8-5.2% up to 30% and 6.25% above 30%) and they cut margin sharply (see Bottom line). Orders with a discount are 31% of all orders but only 27.5% of net revenue; the data cannot show whether they added volume, as there is no no-discount baseline per period.
Delivery times by region	The three broad regions are similar (3.3-3.5 days, cancellation 8.9-9.3%). By province, slower delivery goes with higher cancellation: Gilgit-Baltistan 5.08 days / 12.8%, Azad Kashmir 4.88 / 11.1%, Balochistan 4.49 / 10.7%, versus Islamabad 2.54 / 7.4%. Return rates are also higher in the slowest provinces (5.4-6.0% vs 4.8%). This is an association, not proof of cause, since cancelled orders are never delivered.
Payment methods	COD has the highest cancellation rate (13.94% vs 3.88-4.13% for others). Return rates are almost the same across methods (4.96-5.32%), so payment method explains cancellations, not returns.

Notes: Small 'Unknown' members (broken references) are under 0.5% of NMV. Cleaning rules, before/after counts and rejects are in the Data Quality Report. Margin uses cost_price where cost was imputed (flagged cost_imputed).